

- Carry on rituals and ceremonies and memorialize them.

Conventional, modern families do not actively leverage life stages. Instead, every generation looks out for itself. But the nuclear family model is inadequate for multigenerational wealth building.

The nuclear family is egocentric, isolated, and impermanent. These are the opposite qualities of successful multigenerational families (particularly the kind that tend to thrive in places such as Italy and Spain, where the traditional extended family model is more prominent).

In the modern nuclear family, each generation tends to focus on itself. And each generation, overall, depends on itself financially. Because financial support and responsibility are limited to a single generation, the small family of limited means tends to look to government for services. Not surprisingly, it also supports the government's transfer programs and wants more of them.

The typical modern family spends most of what it makes. The next generation has to start over again. Many modern families will go into debt to support a lifestyle they cannot really afford. Then the government goes far into debt too—for much the same reasons. Thus do government and modern families depend on each other—and both depend on debt.

The modern, nuclear family is focused on the short term. If the parents earn a decent income, they might save for retirement or for a child's college education. The rest is spent. Parents in these families are often members of the "SKI" club. They "Spend their Kids' Inheritance." They indulge themselves, rather than save for the benefit of the next generation. This short-term egocentric focus drains the financial resources of these families, even if they earn very high incomes. That's part of the reason savings rates in the United States are so low, just 3.5 percent. Each generation focuses on its own needs and wants.

When one generation does support another, it is only temporary. Children are supported until they get out of college. Elderly family members are often at their children's charge. This leads to a strange and morbid incentive. The adults can't wait until the children end their educations and the oldsters die!